⚡ BREAKING — MAY 2, 2026 Spirit Airlines ceases all operations 3AM EST · $500M bailout collapses · 17,000 jobs lost · 1.8M passengers stranded

STRATEGIC THINKING · GAME THEORY & BUSINESS STRATEGY

WHO LETS SPIRIT DIE?

Bailouts, Creditor Coordination & the Logic of Liquidation

$500M	4	17K	0
BAILOUT OFFERED	PLAYERS	JOBS LOST	DEALS STRUCK

4 Players · Sequential + Simultaneous · Coordination Failure · SPNE Analysis

SCAN TO ACCESS THE FULL WEBSITE

spirit-game-theory.vercel.app

OVERVIEW

WHAT WE'LL *COVER*

12 minutes. Three required sections. One real-world collapse that happened yesterday.

01

THE STORY & THE GAME

Spirit's history & collapse · Real events · Players, strategies, payoffs · Game structure

~4 min — Slides 3-6

02

GAME-THEORETIC ANALYSIS

Why payoffs are 6/5/3 · Payoff matrix · Dominant strategies · Nash Equilibrium · Backward induction · SPNE

~5 min — Slides 7-11

03

STRATEGIC TAKEAWAY

What equilibrium reveals · Decision-maker lessons · Extensions · What could have changed it

~3 min — Slides 12-13

All three rubric sections clearly labeled throughout · Every group member will present · Q&A ready

SECTION 1 — BACKGROUND

SPIRIT AIRLINES: *A BRIEF HISTORY*

Founded in 1983 as Charter One Airlines in Muskegon, Michigan, Spirit rebranded in 1992 and pioneered the ultra-low-cost carrier (ULCC) model in the US — stripping airfare to its bare minimum and charging for every extra. At its peak it served 77 destinations with 200+ aircraft and 17,000 employees.

1983	200+	77	17K
FOUNDED	AIRCRAFT AT PEAK	DESTINATIONS	EMPLOYEES

1983–2010
Growth era — charter to scheduled, pioneered ULCC model in the US

2011
IPO on NASDAQ — Spirit goes public, rapid fleet expansion begins

2022
JetBlue merger announced — $3.8B deal, would have created 6th-largest US airline

JAN 2024
DOJ blocks JetBlue merger on antitrust grounds — Spirit loses its lifeline

NOV 2024
Files Chapter 11 bankruptcy — $1.1B in debt, post-pandemic load factor never recovered

FEB 28, 2026
US & Israel strike Iran → jet fuel doubles from $2.24 to $4.51/gal — restructuring model destroyed

MAY 2, 2026 — 3:00 AM
All operations cease. 34 years of aviation history — over.

SPIRIT AIRLINES A320 FLEET — FORT LAUDERDALE HUB

WHY SPIRIT WAS VULNERABLE

Spirit's ULCC model relied on **razor-thin margins** and **high load factors**. Post-pandemic, leisure traveler behavior changed — Spirit's core customer base found alternatives. The failed JetBlue merger left $400M in breakup fees but no strategic partner. When fuel costs doubled, the restructuring math simply didn't work.

SECTION 1

THE FINAL *48 HOURS*

At **3:00 AM on May 2, 2026** Spirit Airlines shut down. A $500M government bailout collapsed at the last moment. Three Wall Street creditors killed it.

> *"Seems like the other lenders are blocking. They think they'll get bumped down in priority."*
>
> — PRESIDENT DONALD TRUMP, MAY 1, 2026

> *"In the end, this was a creditor issue. They have the final say."*
>
> — SECRETARY DUFFY, NEWARK AIRPORT, MAY 2, 2026

> *"The Trump administration made an extraordinary effort to try and save Spirit, but you can't breathe life into a corpse."*
>
> — CREDITOR CLOSE TO THE DEAL, VIA REUTERS

$500M BAILOUT OFFERED	**17,000** JOBS LOST
90% EQUITY DEMANDED BY GOV	**1.8M** PASSENGERS STRANDED

- MAR 2026
  Restructuring agreed at $2.24/gal fuel
- FEB 28, 2026
  Iran strikes → fuel spikes to **$4.51/gal** — restructuring model collapses
- LATE APR 2026
  Trump / Lutnick offer $500M for 90% equity warrants
- MAY 1, 2026
  Citadel counterproposal rejected · creditor bloc widens · board meeting fails
- MAY 2, 2026 — 3AM
  All flights canceled. 34 years over.

THE THREE CREDITORS *WHO BLOCKED THE DEAL*

CITADEL

Ken Griffin · ~$67B AUM · Chicago

Submitted a counterproposal the government rejected. Objected to 90% equity warrants that would make gov senior to existing bondholders — pushing their claims down the priority stack.

COUNTERPROPOSAL → REJECTED

ARES MANAGEMENT

NYSE: ARES · $400B+ AUM · LA

Held senior Spirit bonds. 90% equity warrants would wipe out bondholder upside — Ares explicitly stated liquidation recovery was "strictly preferable" to the bailout terms.

OPPOSED — REJECTED TERMS

CYRUS CAPITAL

S. Freidheim · Distressed Debt · NY

Distressed-debt specialist with deep airline restructuring experience. Widened the opposition bloc past the blocking threshold. Their expertise made the holdout maximally credible.

OPPOSED — WIDENED BLOC

Key fact: All three held *senior secured bonds* backed by aircraft, gates & landing slots. In liquidation (Chapter 7), they get paid **first** — recovering roughly face value. The government's deal only offered 5 vs 6 in liquidation. Rational self-interest made walking away the dominant choice.

FORMAL GAME SETUP

DEFINING *THE GAME*

PLAYERS	Government (G), Spirit (S), Citadel (C_1), Ares/Cyrus (C_2)
STRATEGIES	G: {Offer, No Offer} · S: {Accept, Reject} · C_1,C_2: {Accept, Reject} simultaneously
INFO	Sequential then simultaneous — Gov & Spirit move first; creditors move without observing each other
SOLUTION	Subgame Perfect Nash Equilibrium via backward induction

PAYOFF SUMMARY

Survive	Gov=7, Spirit=8, Each Creditor=**5**
Liquidate	Gov=4*, Spirit=0, Rejector=**6**, Cooperator=**3**
No Offer	Gov=3, Spirit=0, Both Creditors=**6**

*Gov=4 includes political signaling δ=2. The gap 6>5 is the entire crisis. Next slide explains the numbers.

SEQUENCE OF PLAY

MOVE 1 — 🏛 GOV — Offer / No Offer →

MOVE 2 — ✈ SPIRIT — Accept / Reject →

MOVE 3 — SIMULTANEOUS — 🗡 + 🏦 CREDITORS — Accept / Reject independently

✅ BOTH ACCEPT → SURVIVES

🔴 ANY REJECT → LIQUIDATION

The Critical Asymmetry: If one creditor rejects, Spirit dies regardless — but the rejector earns **6** while the lone cooperator earns only **3**. Fear of the "sucker's payoff" drives both to reject.

WHERE DO THE NUMBERS COME FROM?

THE PAYOFFS *EXPLAINED*

These aren't arbitrary — each number captures real economic logic. Senior secured bondholders sit at the top of the repayment stack. Their calculation is always: "Do I recover more by cooperating or by forcing liquidation?"

SECTION 2 — ANALYSIS

THE CREDITOR *COORDINATION GAME*

(Citadel payoff, Ares/Cyrus payoff) — conditional on bailout offered & Spirit accepting.

	ARES/CYRUS: ACCEPT	ARES/CYRUS: REJECT
Citadel: Accept	(5, 5) BAILOUT SUCCEEDS	(3, 6) ARES HOLDS OUT
Citadel: Reject	(6, 3) CITADEL HOLDS OUT	(6, 6) ★ NE — LIQUIDATION

Nash Equilibrium Dominant strategy cells

PROVING REJECT IS STRICTLY DOMINANT

If Ares/Cyrus **Accepts**:
Citadel Accept → 5 | Citadel Reject → 6 ∴ **Reject dominates**

If Ares/Cyrus **Rejects**:
Citadel Accept → 3 | Citadel Reject → 6 ∴ **Reject dominates**

By symmetry:
Same holds for Ares/Cyrus → **Reject dominant for both**

★ Unique Nash Equilibrium: **(Reject, Reject) → (6, 6)**
Cooperative outcome (5,5) is Pareto superior but NOT an equilibrium.
This is a classic **Prisoner's Dilemma**.

PRISONER'S DILEMMA STRUCTURE

Pareto optimum:	(Accept,Accept) = (5,5) — system value preserved
Nash equilibrium:	(Reject,Reject) = (6,6) — individual rationality wins
Sucker's payoff:	3 — worst case, cooperate alone
Temptation:	6 — best case, defect alone

The entire $500M crisis was caused by **6 > 5** — and the absence of any mechanism to close that gap.

SECTION 2 — INTERACTIVE DEMO

LIVE — PLAY THE GAME

CAN YOU SAVE *SPIRIT AIRLINES?*

Step through each player's decision. Watch how individual rationality leads to collective failure.

1. GOV	2. SPIRIT	3. CREDITORS	RESULT

🏛 GOVERNMENT MOVE

Does Trump offer the $500M bailout?

✅ OFFER BAILOUT

❌ WALK AWAY

SECTION 2 — SHOW YOUR WORK

ALL POSSIBLE *OUTCOMES*

SCENARIO	GOV	SPIRIT	CITADEL	ARES/CYRUS	OUTCOME	NOTES
Both Creditors Accept	7	8	5	5	✅ Survive	Pareto optimal — not a NE
Citadel Rejects, Ares Accepts	4*	0	6	3	🔴 Liquidate	Ares gets sucker's payoff
Citadel Accepts, Ares Rejects	4*	0	3	6	🔴 Liquidate	Citadel gets sucker's payoff
Both Reject ★ Nash Eq.	4*	0	6	6	🔴 Liquidate	What actually happened
Spirit Rejects Bailout	4*	0	6	6	🔴 Liquidate	Spirit indifferent — payoff=0
No Bailout Offered (δ=0)	3	0	6	6	🔴 Liquidate	Dominated by Offer if δ>1

* Gov=4 when bailout offered but fails (base 2 + political signaling δ=2). Trump's public announcement confirms δ>1, making Offer strictly optimal regardless of outcome.

Key Insight: The cooperative outcome (5,5) is blocked purely by the *structure of incentives* — not bad faith or misaligned preferences. Both creditors would prefer (5,5) to (6,6) if they could credibly commit. But they cannot — and that's the entire story.

SECTION 3

"BAILOUTS FAIL NOT BECAUSE THEY ARE BAD DEALS, BUT BECAUSE THEY DON'T BEAT EACH CREDITOR'S OUTSIDE OPTION."

WHAT EQUILIBRIUM TELLS US

The NE (Reject,Reject)→(6,6) is collectively worse than (Accept,Accept)→(5,5). Individual rationality produces collective irrationality. Plain intuition says "convince them" — but the math shows persuasion is irrelevant when Reject is dominant regardless of the other side.

WHAT PLAIN INTUITION MISSES

Each creditor earns *more* in liquidation than in a diluted restructuring. The 6>5 gap isn't about greed or bad faith — it's a structural fact. No amount of negotiation fixes dominant strategies. The only fix is changing the payoffs or eliminating the option to defect.

THE POLITICAL SIGNALING INSIGHT

Why offer a deal you expect to fail? Because $\delta>1$ — the reputational payoff from publicly blaming Wall Street exceeded the cost of failure. Trump said "we gave them a final proposal." Duffy flew to Newark. The SPNE predicted the government's behavior, not just the creditors'.

DECISION-MAKER LESSON

To save Spirit you needed: (1) raise creditor Accept payoff above 6 — e.g. subordinated instead of senior gov debt, (2) secure private commitment before any public announcement, or (3) use cramdown to legally eliminate the defection option. The real failure was structural, not strategic.

EXTENSIONS: *CHANGING THE EQUILIBRIUM*

The model precisely identifies four levers. Each extension changes one parameter and shows how the equilibrium shifts.

EXT A — CHANGE PAYOFFS

PROTECT CREDITOR RECOVERY

Subordinated gov debt instead of senior equity warrants raises Accept from 5→7. Now **7>6**. Accept becomes dominant for both. Bailout succeeds in equilibrium. Real-world confirmation: Citadel's counterproposal was essentially asking for this.

`Accept = 7 > Reject = 6 → Dominant strategy flips → Bailout possible`

EXT B — PRE-PACKAGE

SECURE CONSENT PRIVATELY FIRST

Lutnick negotiated publicly, letting creditors coordinate on rejection. A private pre-packaged deal — binding commitment before announcement — eliminates the simultaneous game entirely. No coordination problem, no holdout equilibrium.

`Simultaneous game removed → No holdout equilibrium possible`

EXT C — LEGAL FIX

CHAPTER 11 CRAMDOWN

A supermajority vote (§1129) binds dissenting creditors, capping their Reject payoff. This eliminates the defection option — the legal mechanism that does what negotiation cannot. Spirit's timeline was too compressed to invoke this.

`Reject payoff capped → Holdout eliminated → Accept rational`

EXT D — REPEATED GAME

FOLK THEOREM & REPUTATION

One-shot game → defection rational. But these three creditors regularly restructure with government. If gov credibly commits to punishing future defectors, cooperation is sustainable by the Folk Theorem — provided discount factor δ is sufficiently high.

`High discount factor δ → Cooperation sustainable via Folk Theorem`

SOURCES & REFERENCES

REFERENCES & *SOURCES*

NEWS & PRIMARY SOURCES

Reuters — "Spirit Airlines ceases operations after bailout collapses," May 2, 2026

CBS News — "Spirit Airlines shuts down after creditors block deal," May 2, 2026

Wall Street Journal — "Creditor bloc prevents Spirit rescue," May 1–2, 2026

CNN / AP / Washington Post — Spirit wind-down coverage, May 2, 2026

Fox Business / CNBC — Trump & Lutnick Spirit negotiations, April–May 2026

Detroit News / Reuters — "Iran strikes push jet fuel to $4.51/gal," Feb–Mar 2026

NPR — "Spirit Airlines cancels all flights," May 2, 2026

Trump White House Press Gaggle, May 1, 2026 (direct quote)

Secretary Duffy, Press Conference Newark Airport, May 2, 2026

GAME THEORY

Dixit, A. & Nalebuff, B. *The Art of Strategy*, W.W. Norton, 2008

Osborne, M.J. & Rubinstein, A. *A Course in Game Theory*, MIT Press, 1994

Selten, R. "Reexamination of the perfectness concept," *Int. J. Game Theory*, 1975

Nash, J. "Equilibrium points in n-person games," *PNAS*, 1950

Tucker, A.W. — Prisoner's Dilemma (1950 Stanford lecture)

BANKRUPTCY LAW

11 U.S.C. § 1129 — Confirmation of plan (cramdown provisions)

Baird, D.G. *Elements of Bankruptcy*, Foundation Press, 2010

SPIRIT HISTORY

NASDAQ listing history, Spirit Airlines 10-K filings 2011–2024

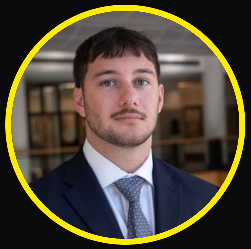
DOJ v. JetBlue-Spirit, Case No. 1:23-cv-10511, Jan 2024

THE TEAM

Game Theory & Business Strategy · Final Submission — May 6, 2026

FARES HAJJI

The Story & Game · Context & Formulation



SHAWN GULEC

Game-Theoretic Analysis · Backward Induction

SHAIRA KATUWAL

Strategic Takeaway · Extensions